An Act

ENROLLED HOUSE
BILL NO. 1371

By: Moore, Boles, Sterling, West (Tammy), and Stark of the House

and

Green, Mann, Stanley, Seifried, Thompson, Haste, Coleman, Hall, Pugh, and Woods of the Senate

An Act relating to oil and gas; amending 52 O.S. 2021, Section 570.10, which relates to the Production Revenue Standards Act; modifying amount of interest earned on certain proceeds; providing for cap of certain earned interest; providing that certain proceeds shall not earn interest; requiring maintenance of certain records; authorizing remittance of certain proceeds to certain fund; requiring the Office of the State Treasurer to establish and administer the Mineral Owner’s Fund; requiring certain written notice; authorizing remittance as alternative to filing certain action; relieving certain liability; authorizing deposit of certain payments; clarifying certain claiming right; requiring certain proof of identity and ownership; requiring certain remittance within certain time frame; clarifying obligation of payor; amending 52 O.S. 2021, Section 903, which relates to the Energy Litigation Reform Act; modifying amount of interest earned on certain proceeds; amending 60 O.S. 2021, Section 658, which relates to the Uniform Unclaimed Property Act; stating certain presumption of abandonment; updating statutory language and references; and providing an effective date.

SUBJECT: Oil and gas

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 52 O.S. 2021, Section 570.10, is amended to read as follows:

Section 570.10. A. All proceeds from the sale of production shall be regarded as separate and distinct from all other funds of any person receiving or holding the same until such time as such proceeds are paid to the owners legally entitled thereto. Any person holding revenue or proceeds from the sale of production shall hold such revenue or proceeds for the benefit of the owners legally entitled thereto. Nothing in this subsection shall create an express trust.

B. Except as otherwise provided in this section:

1. Proceeds from the sale of oil or gas production from an oil or gas well shall be paid to persons legally entitled thereto:

a. commencing not later than six (6) months after the date of first sale, and

b. thereafter not later than the last day of the second succeeding month after the end of the month within which such production is sold.

2. Notwithstanding paragraph 1 of this subsection, royalty proceeds from the sale of gas production from an oil or gas well remitted to the operator pursuant to subsection B of Section 570.4 of this title shall be paid to persons legally entitled thereto:

a. commencing not later than six (6) months after the date of first sale, and

b. thereafter not later than the last day of the third succeeding month after the end of the month within which such production is sold; provided, however, when proceeds are received by the operator in its capacity as a producing owner, the operator may pay the royalty share of such proceeds to the royalty interest owners legally entitled thereto at the same time that it pays the royalty proceeds received from other producing owners for the same production month, but not later than the last day of the third succeeding month after the end of the month within which such production was sold.

3. a. Proceeds from production may be remitted to the persons entitled to such proceeds annually for the twelve (12) ~~months~~ months' accumulation of proceeds totaling at least Ten Dollars ($10.00) but less than One Hundred Dollars ($100.00). Amounts less than Ten Dollars ($10.00) may be held but shall be remitted when production ceases or by the payor upon relinquishment of payment responsibility.

b. Proceeds totaling less than One Hundred Dollars ($100.00) but more than Twenty-five Dollars ($25.00) shall be remitted monthly if requested by the person entitled to the proceeds. Amounts less than Ten Dollars ($10.00) shall be remitted annually if requested by the person entitled to the proceeds.

c. Before proceeds greater than Twenty-five Dollars ($25.00) may be accumulated, the payor shall provide notice to the person owning interest, as defined in Section 570.2 of this title, entitled to such proceeds that there is an option to be paid monthly for proceeds greater than Twenty-five Dollars ($25.00). Such notice to the person shall also provide directions for requesting monthly payment, and constitutes notice to all heirs, successors, representatives, and assigns of the person.

4. Any delay in determining the persons legally entitled to proceeds from production caused by unmarketable title shall not affect payments to persons whose title is marketable, or that portion of a person's interest which is marketable.

C. 1. A first purchaser that pays or causes to be paid proceeds from production to the producing owner of such production or, at the direction of the producing owner, pays or causes to be paid royalty proceeds from production to:

a. the royalty interest owners legally entitled thereto, or

b. the operator of the well,

shall not thereafter be liable for such proceeds so paid and shall have thereby discharged its duty to pay those proceeds on such production.

2. A working interest owner that pays or causes to be paid royalty proceeds from production to:

a. the royalty interest owners legally entitled thereto, or

b. the operator of the well,

shall not thereafter be liable for such proceeds so paid and shall have thereby discharged its duty to pay those proceeds on such production.

3. An operator that pays or causes to be paid royalty proceeds from production, received by it as an operator, to the royalty interest owners legally entitled thereto shall not thereafter be liable for such proceeds so paid and shall have thereby discharged its duty to pay those proceeds on such production.

4. Where royalty proceeds are paid incorrectly as a result of an error or omission, the party whose error or omission caused the incorrect royalty payments shall be liable for the additional royalty proceeds on such production and all resulting costs or damages incurred by the party making the incorrect payment.

D. 1. Except as otherwise provided in paragraph 2 of this subsection, where proceeds from the sale of oil or gas production or some portion of such proceeds are not paid prior to the end of the applicable time periods provided in this section, that portion not timely paid shall earn interest at the rate of ~~twelve percent (12%)~~ fifteen percent (15%) per annum ~~to be compounded annually~~, calculated from the end of the month in which such production is sold until the day paid.

2. a. Where such proceeds are not paid because the title thereto is not marketable, such proceeds shall earn interest at the rate of ~~(i)~~ six percent (6%) per annum ~~to be compounded annually~~ for time periods prior to November 1, 2018, and ~~(ii)~~ the prime interest rate as reported in the Wall Street Journal for time periods on or after November 1, 2018, calculated from the end of the month in which such production was sold until such time as the title to such interest becomes marketable or the holder has received an acceptable affidavit of death and heirship in conformity with

Section 67 of Title 16 of the Oklahoma Statutes, or as set forth in subparagraph b of this paragraph. Marketability of title shall be determined in accordance with the then current title examination standards of the Oklahoma Bar Association. In no case shall the interest applied under this subparagraph exceed six percent (6%) per annum, calculated from the end of the month in which such production is sold until the day paid.

b. Where marketability has remained uncured, or the holder has not been provided an acceptable affidavit of death and heirship in conformity with Section 67 of Title 16 of the Oklahoma Statutes, for a period of one hundred twenty (120) days from the date payment is due under this section, any person claiming to own the right to receive proceeds which have not been paid because of unmarketable title may require the holder of such proceeds, or the holder of such proceeds may elect, to interplead the proceeds and all accrued interest into court for a determination of the persons legally entitled thereto. Upon payment into court, the holder of such proceeds shall be relieved of any further liability for the proper payment of such proceeds and interest thereon.

c. Subject to paragraph 8 of subsection H of this section, where marketability has remained uncured and a probate is required to cure, such proceeds shall not earn interest pursuant to paragraphs 1 and 2 of this subsection until title is cured and the payor receives a file-stamped copy of the final decree from the probate action.

d. Subject to paragraph 8 of subsection H of this section, proceeds in suspense due to the filing of statutory liens, or at the written request of the owner, shall not earn interest pursuant to paragraphs 1 and 2 of this subsection from the date of the statutory lien filing or written request.

e. Subject to paragraph 8 of subsection H of this section, where such proceeds are not paid because the payment was returned to the payor as undeliverable or the payment check is not cashed by the owner, such proceeds shall not earn interest pursuant to paragraphs 1 and 2 of this subsection after the date the check was mailed. The payor shall maintain records of such mailing dates and copies of any undeliverable envelopes and payment checks. This provision shall only apply to payment checks mailed to an address obtained after good faith and reasonable diligence by the payor. Any payment made by electronic means, as authorized by subsection G of this section, that is refused by an owner shall not earn interest pursuant to paragraphs 1 and 2 of this subsection after the date the electronic funds transfer is initiated.

E. 1. Except as provided in paragraph 2 of this subsection, a first purchaser or holder of proceeds who fails to remit proceeds from the sale of oil or gas production to owners legally entitled thereto within the time limitations set forth in paragraph 1 of subsection B of this section shall be liable to such owners for interest as provided in subsection D of this section on that portion of the proceeds not timely paid. When two or more persons fail to remit within such time limitations, liability for such interest shall be shared by those persons holding the proceeds in proportion to the time each person held such proceeds.

2. When royalty proceeds on gas production are remitted pursuant to subsection B of Section 570.4 of this title:

a. A first purchaser that causes such proceeds to be received by the operator or by a producing owner in the well for distribution to the royalty interest owner legally entitled thereto within the first month following the month in which such production was sold shall not be liable for interest on such proceeds.

b. A producing owner receiving royalty proceeds that causes such proceeds to be received by the royalty interest owner legally entitled thereto or by the operator for distribution to the royalty interest owner legally entitled thereto, not later than the end of the first month following the month in which proceeds for such production was received by the producing owner from the purchaser, shall not be liable for interest on such proceeds.

c. An operator receiving royalty proceeds that causes such proceeds to be received by the royalty interest owner legally entitled thereto, not later than the end of the first month following the month in which proceeds for such production was received by the operator from the purchaser or producing owner, shall not be liable for interest on such proceeds.

d. Liability for interest provided in subsection D of this section shall be borne solely by the person, or persons, failing to remit royalty proceeds within the time limitations set forth in subsection B of this section. When two or more persons fail to remit within such time limitations, liability for such interest shall be shared by such persons in proportion to the time each person held such proceeds.

F. Nothing in this section shall be construed to impair or amend existing or future contractual rights provided for in gas balancing agreements or other written agreements which expressly provide for the taking, sharing, marketing or balancing of gas or the proceeds therefrom. Any proceeds to be paid pursuant to any such agreement shall not commence to earn interest until the sooner of the time provided in such agreement for the payment of such proceeds or ninety (90) days from the date of the depletion of the well. Nothing herein shall be deemed to alter or limit the payment of royalty proceeds as provided in the Production Revenue Standards Act.

G. All payments under the Production Revenue Standards Act to owners or any other person or governmental entity legally entitled to the payment may be made by electronic means including, but not limited to, electronic funds transfer, Automated Clearing House (ACH), direct deposit, wire transfer, or any other similar form of transfer, upon the mutual written consent of the payor and payee.

H. 1. Notwithstanding any other provision of this section, where proceeds from the sale of oil or gas production, or any portion thereof, together with any interest accrued thereon pursuant to paragraphs 1 and 2 of subsection D of this section, remain unpaid for a period of thirty-six (36) months after the date such proceeds first became due under subsection B of this section and the payor has had contact with the owner, the payor may remit such proceeds, together with any accrued statutory interest, to the Mineral Owner's Fund established pursuant to Section 553 of this title.

2. The Office of the State Treasurer shall establish and administer a separate escrow account for the receipt and holding of proceeds and any interest remitted to the Mineral Owner's Fund pursuant to paragraph 1 of this subsection. Such escrow account shall be maintained exclusively for proceeds and any interest due under paragraphs 1 and 2 of subsection D of this section, and all amounts deposited therein shall be held in trust for the benefit of the owners legally entitled thereto. The escrow account shall be structured in a manner substantially similar to the escrow accounts established pursuant to Section 552 of this title, including comparable reporting, recordkeeping, and maintenance requirements; provided, however, that such escrow account shall be separate and distinct from any escrow accounts established under Section 552 of this title for pooled interests of persons who are unknown or cannot be located. Such escrow account shall be an interest-bearing escrow account maintained by the Office of the State Treasurer at a federally insured bank or savings and loan institution.

3. Upon the transfer of an owner's proceeds and any accrued interest to such escrow account, the payor shall send written notice to the last-known address of the owner legally entitled to proceeds under this section informing the owner such proceeds were remitted to the Mineral Owner's Fund pursuant to this subsection and identifying the statutory basis for such remittal.

4. A payor may, at its sole discretion, remit proceeds and any accrued interest to the Mineral Owner's Fund pursuant to this subsection as an alternative to filing an action in interpleader under paragraph 2 of subsection D of this section.

5. Upon remittance of proceeds and any accrued interest to the Mineral Owner's Fund, the payor shall be relieved of any further liability for any interest and proceeds remitted under this subsection, provided the payor has complied with all applicable requirements of this subsection and section. The owner's source of recovery for the proceeds and accrued interest remitted under this subsection shall be restricted to the Mineral Owner's Fund.

6. Following remittance of proceeds and any accrued interest to the escrow account established pursuant to paragraph 2 of this subsection, the payor may continue to make subsequent payments of proceeds and any accrued interest owed to the same owner by directing such payments to the Mineral Owner's Fund for deposit into such escrow account on behalf of the owner.

7. Nothing in this subsection shall extinguish or impair the right of any person legally entitled to such proceeds and any interest to claim and receive the same from the escrow account established pursuant to paragraph 2 of this subsection, upon submission of sufficient proof of identity and proof of ownership of the interest to the Office of the State Treasurer. Such proof of identity and ownership shall be the same as provided in Section 735:80-7-2 of the Oklahoma Administrative Code.

8. Notwithstanding paragraph 1 of this subsection, where proceeds are held pursuant to subparagraphs c, d, or e of paragraph 2 of subsection D of this section, such proceeds shall be remitted to the Mineral Owner's Fund within one hundred eighty (180) days after the date such proceeds thereafter become due under subsection B of this section.

I. Notwithstanding any other provision of this section, nothing stated herein shall impact a payor's obligation to remit proceeds due under this section pursuant to the Uniform Unclaimed Property Act.

SECTION 2. AMENDATORY 52 O.S. 2021, Section 903, is amended to read as follows:

Section 903. Except for the right to enforce lien rights under private agreement or under Sections 548 through 549.12 of ~~Title 52 of the Oklahoma Statutes~~ this title and except where specific remedies are provided by private agreement, and as long as paragraph 1 of subsection D of Section 570.10 of ~~Title 52 of the Oklahoma Statutes~~ this title provides for an interest rate equal to or greater than ~~twelve percent (12%) compounded annually~~ fifteen percent (15%) per annum, the Production Revenue Standards Act shall provide the exclusive remedy to a person entitled to proceeds from production for failure of a holder to pay the proceeds within the time periods required for payment. The interest amounts set forth in subsection D of Section 570.10 of this title and the remedies set forth in subsection C of Section 570.14 of ~~Title 52 of the Oklahoma Statutes~~ this title, with the term "actual damages" as used therein being limited to the proceeds due and the interest as provided in subsection D of Section 570.10 of ~~Title 52 of the Oklahoma Statutes~~ this title, are deemed to be adequate remedies for failure to pay proceeds within the time periods required for payment and no other penalty or damages shall be recoverable in any litigation involving a claim for unpaid or underpaid proceeds from production including, without limitation, punitive or exemplary damages or disgorgement damages, unless there shall be a determination by the finder of fact upon clear and convincing evidence that the holder who failed to pay such proceeds did so with the actual, knowing and willful intent~~:~~ ~~(a)~~ to deceive the person to whom the proceeds were due, or ~~(b)~~ to deprive proceeds from the person the holder knows, or is aware, is legally entitled thereto.

SECTION 3. AMENDATORY 60 O.S. 2021, Section 658, is amended to read as follows:

Section 658. A. Except as otherwise provided in the Uniform Unclaimed Property Act, all intangible personal property, including income or increment derived from the property, less any lawful charges, that is held, issued, or owing in the ordinary course of a holder's business and has remained unclaimed by the owner for more than five (5) years after becoming payable or distributable is presumed abandoned.

B. Holders of presumed abandoned intangible property shall report annually and remit all proceeds accrued to date, including the current balance held by the holder. When and if any part of the proceeds has been held for the statutory abandonment period or longer, the holder must report and remit all interest, additions, and increments accrued to the account of the owner. Any additional amounts accruing to an owner of the same intangible property presumed abandoned previously reported will be reported and remitted on an annual basis, including additional amounts from the "as of date" of the previous report year through the "as of date" of the current report year.

C. In no event shall mineral interest proceeds be required to be reported or remitted sooner than six (6) months after the date of first sale from the applicable well. Mineral interest proceeds not remitted pursuant to subsection H of Section 570.10 of Title 52 of the Oklahoma Statutes shall be presumed abandoned at thirty-six (36) months after such proceeds were otherwise due to an owner pursuant to Section 570.10 of Title 52 of the Oklahoma Statutes.

D. Property is payable or distributable for the purposes of this act notwithstanding the owner's failure to demand the property or to present an instrument or document required to receive payment of the property.

SECTION 4. This act shall become effective November 1, 2026.

Passed the House of Representatives the 29th day of April, 2026.

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Presiding Officer of the House
of Representatives

Passed the Senate the 15th day of April, 2026.

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Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this ____________________

day of ___________________, 20_______, at _______ o'clock _______ M.

By: _________________________________

Approved by the Governor of the State of Oklahoma this _________

day of ___________________, 20_______, at _______ o'clock _______ M.

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Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this __________

day of ___________________, 20_______, at _______ o'clock _______ M.

By: _________________________________